

Principles of Marketing

Chapter#11

Pricing Strategies

Pricing Strategies

Topic Outline

- ❖ New-Product Pricing Strategies
- ❖ Product Mix Pricing Strategies

New-Product Pricing Strategies

- Market-skimming pricing
- Market- penetration pricing

Market-skimming pricing

Market-skimming pricing is a strategy with high initial prices to “skim” revenue layers from the market.

- Product quality and image must support the price
- Buyers must want the product at the price
- Costs of producing the product in small volume should not cancel the advantage of higher prices
- Competitors should not be able to enter the market easily

Market- penetration pricing

Market-penetration pricing sets a low initial price in order to penetrate the market quickly and deeply to attract a large number of buyers quickly to gain market share

- Price sensitive market
- Inverse relationship of production and distribution cost to sales growth
- Low prices must keep competition out of the market

Product Mix Pricing Strategies

**Product line
pricing**

**Optional-
product
pricing**

**Captive-
product
pricing**

**By-product
pricing**

**Product
bundle
pricing**

Product line pricing

Product line pricing takes into account the cost differences between products in the line, customer evaluation of their features, and competitors' prices.

- Setting prices across an entire product line.
- In tourism hospitality industry the same category of rooms having different rates because of amenities and facilities.

Optional product pricing

Optional-product pricing takes into account optional or accessory products sold with the main product.

- Accessories (like carry bags, cooling fan) with laptops.

Captive-product pricing

Captive-product pricing involves products that must be used along with the main product.

Two-part pricing involves breaking the price into:

- Fixed fee
 - Variable usage fee
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- Gillette often price the razor at or below cost and make the profit on the blades.

By-product pricing

By-product pricing refers to products with little or no value produced as a result of the main product. Producers will seek little or no profit other than the cost to cover storage and delivery.

- Pricing low-value by-products to get rid of them.
- Some garments manufacturers sell waste cut-pieces of cloth to car-washing industry.

Product bundle pricing

Product bundle pricing combines several products at a reduced price.

- Pricing bundles of products sold together
- Value meals at fast food restaurants



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